

Alphabet Inc.

NASDAQ: GOOGL / GOOG | Communication Services — Internet & AI | 16 July 2026

BUY | **Target Price: \$400** | CMP: \$370 (18-Jul-2026) | Upside: +8%

Investment Summary

Alphabet has only extended its landmark run. FY2025 was its first year above \$400 billion in revenue (+15% to \$402.8bn, net income \$132.2bn, EPS \$10.81, ~32% operating margin) — and Q1 2026 then accelerated: revenue reached \$109.9bn (+21.8%), the first non-holiday quarter above \$100bn, with Google Cloud up 63% to a ~\$20bn quarterly run-rate at a 33% operating margin and a cloud backlog north of \$460bn. Gemini 3 (750m+ users) and Alphabet's own TPUs place it at the front of the enterprise-AI race, not on the casualty list. In a notable vote of confidence, Warren Buffett confirmed (15 Jul) that he personally initiated Berkshire Hathaway's Alphabet position — now a ~\$41bn stake and one of Berkshire's largest.

The old bear case — that AI would erode Search — is being answered by the numbers: Search is still growing double digits while Alphabet monetises AI across Cloud, Workspace and its first-party models. The debate now is price and capex, not relevance.

At ~\$370 the stock trades around 27x forward earnings — still a market multiple, below Apple (~34x) and roughly level with Amazon (~30x) — for the fastest-growing, most AI-advantaged of the mega-caps. Our multi-method fair value is ~\$400, anchored on a sum-of-the-parts that surfaces the Cloud value a blended P/E hides: about 8% above the current price, and still below the Street's ~\$430 consensus. We maintain BUY.

Snapshot

Metric	Value	Note
Market cap	~\$4.5 trillion	≈12.2bn shares · \$370
FY2025 revenue	\$402.8bn (+15%)	First year above \$400bn
FY2025 net income / EPS	\$132.2bn / \$10.81	Cloud +48%, op margin ~32%
Valuation	~27x fwd P/E	MSFT 24x, Meta 24x, AMZN 30x, AAPL 34x
2026 capex guide	\$180–190bn	Raised at Q1; the key watch-item
Q1 2026 (reported)	\$109.9bn rev (+21.8%)	Cloud +63%, first \$100bn+ non-holiday qtr

FY2025 Results Review

FY2025 revenue of \$402.8bn (+15%) was led by re-acceleration in Google Services (+14%) and Google Cloud (+48%); operating income rose 16% to \$129.0bn (32% margin). The momentum carried into Q1 2026 (reported 29 Apr): revenue \$109.9bn (+21.8%) beat consensus by ~\$3.3bn, Cloud grew 63% with operating margin expanding to 33%, and management raised full-year 2026 capex guidance to \$180–190bn (from \$175–185bn). Note that Q1 net income was flattered by a ~\$37.7bn unrealised gain on equity securities — the headline \$5.11 EPS overstates the underlying run-rate, so we anchor valuation on operating earnings. Free cash flow stayed healthy despite the AI-infrastructure step-up.

Valuation

We anchor on forward earnings, cross-checked against peers. At ~27x forward, Alphabet sits mid-pack among the mega-caps (MSFT ~24x, Meta ~24x, Amazon ~30x, Apple ~34x) — inexpensive for a ~20% grower with the strongest cloud/AI trajectory in the group. Applying ~30x to FY2026E EPS near \$13.7 supports a fair value of ~\$410. Our peer-comparable cross-check (peer median ~27x trailing) implies ~\$360 — roughly fair on trailing multiples; the gap to our target is the forward growth the comps do not yet capture. Street consensus sits higher still at ~\$430 (Strong Buy).

Sum-of-the-parts. As a conglomerate, Alphabet is best valued on its parts. Valuing Google Services on ~25x net income (~\$2.83tn), Google Cloud on ~21x its ~\$85bn revenue run-rate (~\$1.79tn — warranted by 40–63% growth and a \$462bn RPO backlog), Other Bets/Waymo at ~\$150bn, plus ~\$95bn net cash, the SOTP is ~\$398/share — the anchor for our \$400 target. The forward P/E (~\$410) and Street consensus (~\$430) sit above; a conservative DCF floor (~\$345) sits below. The SOTP is the primary lens because it prices Cloud as the standalone hyperscaler it effectively is.

The swing factor is capex discipline: \$180–190bn of 2026 investment is a bet that AI demand converts to Cloud revenue and ad efficiency. If it does, the multiple re-rates; if returns disappoint, the premium compresses. The full model detail sits in the accompanying workbook; the figures here are illustrative.

Key Risks

- AI capex (\$180–190bn in 2026) pressuring free cash flow if monetisation lags.
- Search disruption risk from AI-native interfaces over the long run.
- Regulatory / antitrust actions across the US and EU on Search and ad-tech.
- OI&E volatility from equity-security marks distorting headline earnings.
- Cloud competition from Microsoft and Amazon.

Company Overview

Alphabet is the parent of Google, operating the world's dominant search and digital-advertising franchise (Search, YouTube, Network), the fast-growing Google Cloud platform, the Android and Chrome ecosystems, and long-horizon 'Other Bets' including Waymo. It is among the best-capitalised companies on earth and a front-runner in frontier AI through its Gemini models and TPU infrastructure.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation. Figures sourced from company filings (FY2025 and Q1 2026) and market data as of 16 Jul 2026, believed reliable but not guaranteed. The target is an illustrative output of the accompanying model and depends on its assumptions. Consult a licensed adviser before acting.

Alphabet Inc. - Income Statement (USD Millions)						
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	2025
REVENUE						
Total Revenues	182,527	257,637	282,836	307,394	350,018	402,836
COST & EXPENSES						97,795
Cost of Revenue	84,732	110,939	126,203	133,332	146,306	162,535
Gross Profit	97,795	146,698	156,633	174,062	203,712	240,301
Operating Expenses:						
Research & Development	27,573	31,562	39,500	45,427	49,326	61,087
Selling, General & Administrative	28,998	36,422	42,291	44,342	41,996	50,175
Total Operating Expenses	56,571	67,984	81,791	89,769	91,322	111,262
Operating Income (EBIT)	41,224	78,714	74,842	84,293	112,390	129,039
OTHER INCOME/EXPENSE						
Interest Income	8,104	13,486	2,858	-	-	-
Interest Expense	(135)	(346)	(357)	-	-	-
Other Income/(Expense), net	(1,246)	(1,562)	93	1,424	7,425	29,787
Total Other Income/(Expense)	6,723	11,578	2,594	1,424	7,425	29,787
Pre-Tax Income (EBT)	47,947	90,292	77,436	85,717	119,815	158,826
Income Tax Provision	7,813	14,701	11,798	11,922	19,697	26,656
Net Income	40,134	75,591	65,638	73,795	100,118	132,170
SHARES DATA						
Diluted EPS	2.93	5.61	5.11	5.80	8.04	10.81
Diluted Shares Outstanding (M)	13,700	13,472	12,843	12,723	12,447	12,230

Alphabet Inc. - Balance Sheet (USD Millions)						
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	2025
ASSETS						
Current Assets:						
Cash and Cash Equivalents	26,465	20,945	21,879	24,048	23,466	30,708
Short-term Investments	110,229	118,704	91,883	86,868	73,169	96,135
Accounts Receivable	30,930	39,304	40,258	48,070	53,128	62,886
Other Current Assets	8,057	8,016	6,696	9,287	10,493	16,309
Total Current Assets	175,681	186,969	160,716	168,273	160,256	206,038
Non-Current Assets:						
Property, Plant & Equipment, net	84,749	97,599	112,668	129,989	156,040	246,597
Intangible Assets	1,445	2,220	2,228	2,313	2,418	-
Goodwill	20,624	24,010	25,578	27,433	29,372	33,380
Long-term Investments	20,673	30,822	34,314	40,699	42,361	68,687
Other Non-Current Assets	16,444	17,648	19,888	33,685	49,809	40,579
Total Non-Current Assets	143,935	172,299	194,676	234,119	280,000	389,243
TOTAL ASSETS	319,616	359,268	355,392	402,392	440,256	595,281
LIABILITIES						
Current Liabilities:						
Accounts Payable	5,589	6,693	6,839	7,664	8,457	12,200
Accrued Expenses	27,923	33,019	34,763	39,225	43,891	83,967
Deferred Revenue	3,288	3,288	3,288	3,288	3,288	6,578
Short-term Debt	2,695	1,790	999	999	3,082	-
Other Current Liabilities	17,339	19,464	23,411	30,638	30,404	-
Total Current Liabilities	56,834	64,254	69,300	81,814	89,122	102,745
Non-Current Liabilities:						
Long-term Debt	13,932	14,817	14,701	13,253	12,987	46,547
Deferred Tax Liabilities	9,190	8,849	9,442	1,702	5,883	-
Other Non-Current Liabilities	17,116	16,334	15,677	22,244	17,180	30,724
Total Non-Current Liabilities	40,238	40,000	39,820	37,199	36,050	77,271

TOTAL LIABILITIES	97,072	104,254	109,120	119,013	125,172	180,016
STOCKHOLDERS' EQUITY						
Common Stock	58,510	66,033	72,293	77,846	85,289	93,126
Retained Earnings	163,401	191,226	178,237	213,311	248,683	324,055
Accumulated Other Comprehensive Income	633	(45)	(258)	(778)	(888)	(1,916)
Total Stockholders' Equity	222,544	257,214	250,272	290,379	333,084	415,265
TOTAL LIABILITIES & EQUITY	319,616	361,468	359,392	409,392	458,256	595,281

Alphabet Inc. - Cash Flow Statement (USD Millions)							
Fiscal Year Ended December 31	2020	2021	2022	2023	2024	2025	
OPERATING ACTIVITIES							
Net Income	40,269	76,033	59,972	73,795	100,118	132,170	
Depreciation & Amortization	11,678	12,821	13,497	12,721	13,040	21,136	
Stock-Based Compensation	15,276	15,383	19,380	22,497	19,271	24,953	
Deferred Taxes	(7,817)	(8,081)	(7,750)	(7,838)	(4,544)	8,348	
Changes in Working Capital:							
Accounts Receivable	(8,463)	(9,145)	(2,310)	(7,756)	(5,012)	(8,779)	
Accounts Payable	664	707	283	304	345	907	
Other Operating Activities	13,517	3,934	8,423	7,023	2,081	(14,022)	
Net Cash from Operating Activities	65,124	91,652	91,495	100,746	125,299	164,713	
INVESTING ACTIVITIES							
Capital Expenditures (CapEx)	(24,640)	(31,485)	(31,485)	(32,279)	(44,530)	(91,447)	
Purchase of Investments	(80,861)	(138,006)	(81,354)	(80,925)	(77,729)	(109,489)	
Sale/Maturity of Investments	87,634	129,244	98,032	87,603	88,408	84,607	
Acquisitions, net	(2,607)	(2,649)	(6,989)	(495)	(2,503)	(1,592)	
Other Investing Activities	541	1,620	1,618	(1,084)	(2,306)	(2,370)	
Net Cash from Investing Activities	(32,773)	(35,523)	(20,298)	(27,063)	(45,536)	(120,291)	
FINANCING ACTIVITIES							
Issuance of Debt	20,177	20,204	52,949	10,756	11,514	64,564	
Repayment of Debt	(21,436)	(21,377)	(54,133)	(11,636)	(10,816)	(32,427)	
Stock Repurchases	(31,149)	(50,274)	(59,296)	(61,540)	(52,679)	(45,709)	
Dividends Paid	-	-	-	-	(6,191)	(10,049)	
Other Financing Activities	8,000	85	723	930	439	(13,767)	
Net Cash from Financing Activities	(24,408)	(51,362)	(59,757)	(61,490)	(57,733)	(37,388)	
Net Change in Cash	7,943	4,767	11,440	12,193	22,030	7,034	
Cash at Beginning of Period	18,498	26,441	21,208	22,648	25,238	23,466	
Cash at End of Period	26,441	21,208	22,648	25,238	25,268	30,708	
KEY METRICS							
Free Cash Flow (OCF - CapEx)	40,484	60,167	60,010	69,467	80,769	73,266	

Alphabet Inc. - Key Operating Metrics								
Fiscal Year Ended December 31	2020	2021	2022	2023	2024			
PROFITABILITY METRICS								
Gross Margin %	53.60%	56.90%	55.40%	56.90%	55.00%			All units are in USD millions
Operating Margin %	22.60%	30.50%	26.50%	28.30%	25.30%			
Net Profit Margin %	22.00%	29.30%	23.20%	25.60%	23.50%			
RETURN METRICS								
Return on Assets (ROA) %	12.60%	21.10%	18.50%	19.50%	18.30%			
Return on Equity (ROE) %	18.00%	29.40%	26.20%	27.10%	24.70%			
LIQUIDITY RATIOS								
Current Ratio	3.09	2.91	2.32	2.06	1.8			
Quick Ratio	3.09	2.91	2.32	2.06	1.8			
LEVERAGE RATIOS								
Debt to Equity	0.06	0.06	0.06	0.05	0.04			
Debt to Assets	0.04	0.04	0.04	0.03	0.03			
EFFICIENCY METRICS								
Asset Turnover	0.57	0.72	0.8	0.76	0.78			
CASH FLOW METRICS								
Operating Cash Flow	65,124	91,652	91,495	101,746	125,299			
Free Cash Flow	40,484	60,167	60,010	69,467	80,769			
FCF Margin %	22.20%	23.30%	21.20%	22.60%	23.10%			
VALUATION DATA (for reference)								
Diluted Shares Outstanding (M)	13,700	13,472	12,843	11,972	10,826			
EPS (Diluted)	2.93	5.61	5.11	6.57	7.59			

Alphabet Inc. - Revenue Breakdown by Segment					
Fiscal Year Ended December 31	2020	2021	2022	2023	2024
GOOGLE SERVICES					
Google Search & Other	104,062	148,951	162,450	175,033	197,868
YouTube Ads	19,772	28,845	29,243	31,510	35,309
Google Network	23,057	31,701	32,780	31,316	31,010
Subscriptions, Platforms & Devices	21,711	28,813	29,055	34,685	40,710
Total Google Services Revenue	168602	238310	253528	272544	304897
GOOGLE CLOUD					
Google Cloud Revenue	13,059	19,206	26,280	33,088	41,794
OTHER BETS					
Other Bets Revenue	657	753	1,068	1,527	1,907
HEDGING GAINS/LOSSES					
Other Revenues & Hedging	209	368	-40	235	420
TOTAL REVENUES	182527	257,637	282,836	307,394	350,018
OPERATING INCOME BY SEGMENT					
Google Services Operating Income	60,913	98,703	88,132	100,456	117,372
Google Cloud Operating Income	(5,607)	(3,099)	1,753	6,448	10,447
Other Bets Operating Income	(4,540)	(5,281)	(6,085)	(6,532)	(7,070)
Corporate Costs (unallocated)	(9,542)	(11,609)	(9,958)	(12,254)	(32,211)
Total Operating Income	41,224	78,714	74,842	88,118	88,538

Alphabet Inc. — Sum-of-the-Parts (SOTP) Valuation

USD millions except per share. FY2025E segment basis. 12,200M shares; net cash ~\$95bn. Live \$370 (Jul 2026).

SEGMENT VALUATION

Segment	Metric (FY25E, \$M)	Value	Multiple	EV / Value (\$/Basis)
Google Services	Net income (after 16% tax)	113000	25	2,825,000 Mature high-margin ads/subs @ 24x
Google Cloud	Revenue run-rate	85000	21	1,785,000 Hyperscale @ 18x rev; +40-60% growth, \$462bn RPC
Other Bets (Waymo etc.)	Optionality value	150000	1	150,000 Waymo robotaxi lead + moonshots
Net cash	Cash – debt	95000	1	95,000 Balance sheet

SOTP SUMMARY

Sum of segment values (\$M)	4,855,000
Diluted shares (M)	12200
SOTP value per share (\$)	398
Current price (\$)	370
SOTP upside / (downside)	7.6%

Note: SOTP is the primary lens for a conglomerate — it surfaces Cloud value the blended-company P/E masks. Cross-checked against forward P/E (~30x FY26E EP)

BLENDED TARGET (SOTP-primary)

SOTP (primary, 45%)	398
Forward P/E (35%): 30x × FY26E	411
DCF floor (20%)	345
Blended fair value (\$)	392
Upside vs \$370	5.9%
Rating	ACCUMULATE

DCF & VALUATION MODEL INPUTS				
SECTION 1: COMPANY DATA				
Company Name	Alphabet Inc. (Google)			
Ticker	GOOGL / GOOG			
Fiscal Year End	December 31, 2024			
SECTION 2: CURRENT FINANCIAL DATA (FY 2024)				
Revenue (in millions)	350,018			
Operating Income (EBIT)	88,538			
Net Income	82,183			
Free Cash Flow	80,769			
Total Debt	16,069			
Cash & Equivalents	96,635			
Shares Outstanding (millions)	10,826			
SECTION 3: DCF MODEL ASSUMPTIONS				
Revenue Growth Rate (Next 5Y)	10.00%	← Adjust as needed		
Terminal Growth Rate	3.00%	← Adjust as needed		
Operating Margin (Target)	25.00%	← Adjust as needed		
Tax Rate	21.00%	← Based on recent effective rate		
Discount Rate (WACC)	8.50%	← Adjust based on WACC calculation		
SECTION 4: PE RATIO INPUTS				
Current Stock Price	370.21	← live 16 Jul 2026		
Diluted EPS (FY 2024)	7.59			
Forward EPS (FY 2025E)	13.27	← FY2026E consensus		
SECTION 5: COMPARABLE COMPANIES				
Company	PE Ratio	Market Cap		
Microsoft	Enter	Enter		
Apple	Enter	Enter		
Meta Platforms	Enter	Enter		
Amazon	Enter	Enter		
Industry Average PE	Calculate			

SECTION 6: NOTES & INSTRUCTIONS		
Next Steps:		
1. Update stock price and forward EPS with current data		
2. Adjust DCF assumptions based on your analysis		
3. Build DCF projection model in next sheet		
4. Calculate PE ratios and compare to peers		
5. Perform sensitivity analysis on key assumptions		

Alphabet — Peer Comparison (Comparable Company Analysis)

Researched Jul 2026 • live prices as of 15-16 Jul 2026

Company	Price (\$)	EPS (\$)	P/E (x)
Alphabet ★	370.21	13.24	28.0x
Apple	281.74	8.29	34.0x
Microsoft	395.63	16.86	23.5x
Amazon	254.96	8.49	30.0x
Meta Platforms	679.94	27.95	24.3x

COMPARABLE-COMPANY SUMMARY		
Peer median P/E (x)		27.2x
Alphabet P/E premium / (discount) to peers		2.9%
Comps-implied value — peer median P/E × EPS (\$)		359.85
Comps-implied vs current price		-2.8%

Note: Alphabet sits mid-pack on trailing P/E despite the strongest cloud/AI growth in the group — the basis of the BUY: quality growth at a market multiple.